TEACHER GUIDE

Cambridge IGCSE Business (0450 / 0264)

Pricing

3 Marketing
3.3 Marketing mix: price



A revision lesson. Pupils run a car dealership in firms of four and revise pricing on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Margin of the price

Round 1

What do you keep?

Margin, as % of the price?

You pay per car	**£10,200**
Customer pays per car	**£12,000**

ANSWER

15%

(£12,000 − £10,200) ÷ £12,000 = 15%

Why: You keep 15p of every £1 the customer pays.

2 Penetration risks

Round 1

You set a low price on a new model to win buyers fast.

Which two are the main risks?

- **A** Fewer buyers at the start
- **B** A low margin on each car
- **C** Buyers may leave when it rises
- **D** A higher profit per car
- **E** Rivals can never match it

ANSWER

✓ A low margin on each car
✓ Buyers may leave when it rises

Why: A low price earns little per car, and buyers drawn by price may not stay.

3 Rank by margin

Round 2

Three cars: what you pay for each, and its price.

Order by margin %, highest first?

- **A** Pay £9,000, price £12,000
- **B** Pay £14,000, price £17,500
- **C** Pay £7,000, price £10,000

ANSWER

1. **Pay £7,000, price £10,000**
2. **Pay £9,000, price £12,000**
3. **Pay £14,000, price £17,500**

Why: Margins 30%, 25%, 20%: the biggest profit in pounds has the lowest margin.

Topic tasks

4 Price to hit margin

Round 2

Price to hit your target.

Price with the 25% margin?

You pay per car	**£7,200**
Prep per car	**£300**
Target margin on the price	**25%**

ANSWER

£10,000

(£7,200 + £300) ÷ 75% = £10,000

Why: A 25% margin is a 33% mark-up on cost.

5 High or low launch

Round 3

You get a rare new model that no rival in town sells.

Which launch price should you set, and why?

A A high price at launch

B A low price at launch

ANSWER

✔ A high price at launch

Why: No rival and a rare model: buyers will pay more at first, so skim.

6 Discounted profit

Round 3

They want a discount.

Profit on the 3 cars?

List price per car	**£17,000**
Fleet discount	**10%**
You pay per car	**£12,000**

ANSWER

£9,900

3 × (£17,000 − 10% − £12,000) = £9,900

Why: The 10% discount costs £5,100 of profit on the deal.

Final questions

Each pupil answers 6 final questions on pricing. They come from these 14 questions.

1 A rival makes a large price cut. What is the strongest first response?
✔ **Weigh costs and customer needs before acting**

2 A new car-care app enters a competitive market with a low introductory subscription price to attract users quickly. Which pricing method is this?
✔ **Penetration pricing**

3 A firm launches a unique diagnostic device at a high price before rivals offer an equivalent. Which pricing method is this?
✔ **Price skimming**

4 A tyre retailer sets prices after comparing several nearby rivals selling the same brands. Which method is most evident?
✔ **Competitive pricing**

5 What does cost-plus pricing involve?
✔ **Adding a mark-up to the cost**

6 A close rival adds a two-year warranty. What should a dealer do before responding?
✔ **Research whether customers value it, and costs**

7 The Sales lead considers lowering a price. Which evidence should be used together?
✔ **Demand, rivals' prices, unit costs and the desired position**

8 Worked case: a bakery cannot match a supermarket's price, so it competes on freshness and its own sourdough. A small dealer cannot match a chain's discount. What should it do?
✔ **Compete on what the chain cannot copy, like knowing customers**

9 Price after discount = original price − (percentage × original price). A van priced £18,000 has 15% off. Using the formula, what does a buyer pay?
✔ **£15,300**

10 A new car valeting firm sets a low price to win customers quickly. It plans to raise the price later. Which pricing strategy is this?
✔ **Penetration pricing**

11 A dealer is the first in town to sell a new electric model. It sets a high price at launch and lowers it later. Which strategy is this?
✔ **Price skimming**

Final questions

12 A dealer buys a used car for £5,000 and adds a 20% mark-up. What selling price does cost-plus pricing give?

✔ **£6,000**

13 Three garages on one road charge about £150 for a full service. A new garage also charges £150. Which pricing method is it using?

✔ **Competitive pricing**

14 A rival opens next door and sells similar used cars for less. What is the dealer most likely to do with its prices?

✔ **Lower its prices to stay competitive**